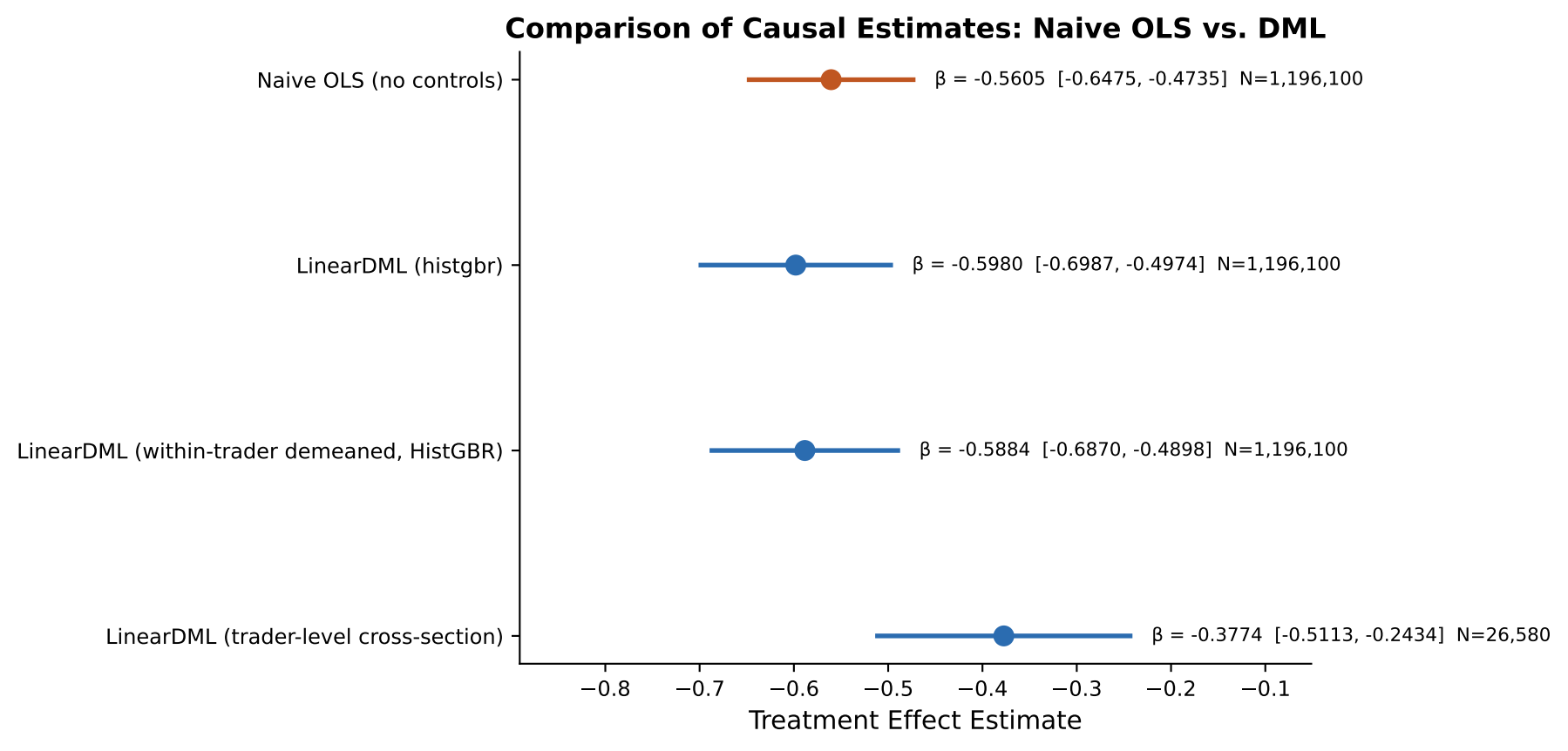
Comparison of Causal Estimates: Naive OLS vs. DML
Naive OLS (no controls)
β = -0.5605 [-0.6475, -0.4735] N=1,196,100
LinearDML (histgbr)
β = -0.5980 [-0.6987, -0.4974] N=1,196,100
LinearDML (within-trader demeaned, HistGBR)
β = -0.5884 [-0.6870, -0.4898] N=1,196,100
LinearDML (trader-level cross-section)
β = -0.3774 [-0.5113, -0.2434] N=26,580
−0.8
−0.7
−0.6
−0.5
−0.4
−0.3
−0.2
−0.1
Treatment Effect Estimate